

DEEPGRID SEMI · A PROPOSAL, NOT A PITCH · BP-1B · AUGUST
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The United States: What I'm Proposing We Build Together

From: Aravind Prasad G, Founder & CEO, Deepgrid Semi Pvt Ltd

To: Shravan Siramdas · investor, and the person I want running our international business

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Companion document: BP-1A — the India plan, which is the one already funded

STRICTLY CONFIDENTIAL — FOR SHRAVAN SIRAMDAS

Shravan,

You have offered to come in as an investor, and separately you have said you would like to come in as a co-founder and bring your experience taking businesses international. I want to take the second offer more seriously than the first, because I think it is worth more to this company than the cheque — and because it deserves a real answer rather than an enthusiastic one.

So I have written you a document about America specifically, kept apart from our India plan. I did that deliberately. Our India story is genuinely strong, and if I had merged the two you would have found the Indian tailwind quietly carrying the American argument. You would have discovered that yourself in month four, and you would have been right to be annoyed about it.

What follows is what I actually believe, including the parts that make our US position look smaller than a founder normally admits in writing. Where a number is from our own material I have said so; where it is from outside research I have cited it. Everything I have not verified is marked as an assumption. **I would rather you enter this knowing exactly what is unproven than have you find out after you have put your name on it.**

There is one thing I want to say plainly at the start. I take delivery — the silicon, the certification, the engineering. I am proposing that **you take the market**, starting with America. That is not me handing you the hard part while I keep the interesting one. In this company, market access is the scarcer of the two.

1 What I'm proposing, in one page

Before the analysis, the proposal itself, so you can read everything after this knowing where it lands:

WHAT	MY PROPOSAL
Your role	Co-founder, international. You own US and global go-to-market: positioning, channel, partnerships, pricing proposals. I own delivery: silicon, RTL, certification, tapeout.

WHAT	MY PROPOSAL
Your investment	Unchanged from what we discussed — \$1M at ₹112 Cr pre-money, in two tranches, with the side letter.
Your US upside	Founder equity in the American company , earned in tranches against named commercial gates, with the first tranche vesting at signing. The Indian parent holds majority and the IP; you hold real founder shares in the entity you build. Full structure, guardrails and the dilution question in §8.
What I am NOT asking you to fund	America. The ₹45 Cr round funds India: the tapeout and AIS certification. No US spend draws on it.
What I am asking you for	Three conversations I cannot get on my own, and the judgement to tell me when I am wrong about this market. Details in §10.
What this document does not do	Forecast US revenue. There is no US line in our financial plan and I am not going to invent one before you and I have had a real partner conversation.

The one-sentence version. I think America is a real opportunity for us, I think it is a *licensing and stack* business rather than the box business we run in India, and I think it is worth roughly nothing without someone who can open doors I cannot — which is the entire reason I am writing to you rather than putting a US slide in the India deck.

2 Why I did not simply extend the India plan

Our India thesis rests on three things: a compliance mandate that creates demand by law, a price advantage of roughly three times against imported kits, and a sovereignty rule that excludes foreign silicon from government fleets. It is a good thesis. I have stress-tested it hard, and I believe it.

None of those three exists in the United States. I went through it line by line, and each row below kills a specific argument I might otherwise have been tempted to carry across:

WHAT WE RELY ON IN INDIA	INDIA	UNITED STATES	DOES IT TRAVEL?
Demand driver	GSR 184(E) compliance mandate	Insurance and litigation economics ● SOURCED	No

WHAT WE RELY ON IN INDIA	INDIA	UNITED STATES	DOES IT TRAVEL?
Regulatory instrument	live since April 2026	AEB rule still only a <i>supplemental proposed</i> rule, and factory-fit at that ● SOURCED	No
Price umbrella	₹6.5–15L imports vs our ₹2.3L	incumbents already at \$27–60 per vehicle per month ● SOURCED	No
Sovereignty advantage	Atmanirbhar excludes foreign silicon	no equivalent — though China/Russia restrictions help a non-China supplier ● SOURCED	Inverted
Smart mirror as a mirror replacement	a permitted product	FMVSS 111 still requires mirrors; camera systems only under research ● SOURCED	No
An open retrofit channel	fragmented, no incumbent	owned by Samsara, Lytx, Motive, Netradyn, SmartWitness ● SOURCED	No
Private-land driverless	our Phase-3 margin engine	same logic, and commercially proven by Outrider ● SOURCED	Yes
Cost-down silicon	the whole moat	still real — but sold to a platform, not to a fleet	Partly

What that table forced me to accept. In India we sell a finished kit to a fleet against a deadline. In America the product, the buyer and the trigger all fail at once. The only honest posture left is to sell **the layer nobody else localises — our silicon, our IP and our model — into companies that already own the American fleet relationship**, plus yard autonomy where no federal vehicle standard applies at all. That is a smaller and less glamorous claim than our India plan makes. I would rather hand you a smaller claim that survives contact.

3 What the American market actually looks like

The opportunity is large and the buying trigger is money rather than law. American fleets do not buy safety hardware because a regulator compels them; they buy it because a single verdict can exceed the equity value of the business. You will know this world better than I do — these are the numbers I have been working from:

US MARKET FACT	VALUE	AS OF	EVIDENCE
Class 8 trucks in operation (the retrofit base)	3.91M	2026	● SOURCED
New Class 8 retail sales, forecast	224,800 units	2026, +5.7% YoY	● SOURCED
North American Class 8 production, forecast	274,111 units	2026, +9% YoY	● SOURCED
US trucking industry revenue	\$906B	2024, 76.9% of freight	● SOURCED
Driver shortage	60,000–80,000	now; ~160,000 by 2031 (ATA)	● SOURCED
Median trucking nuclear verdict	\$51M	2024	● SOURCED
Growth in \$10M+ verdicts	+235%	2009–2023	● SOURCED
Commercial auto liability cost growth	10.1%/yr	since 2016	● SOURCED
Insurer discount for safety tech + training	15–20%	2026, major carriers	● SOURCED
Yard / shuttle autonomy market	\$64B global	52.7% CAGR to 2030 (ABI Research)	● SOURCED

The three rulemakings that decide our timing

I want you to have these dates precisely, because they are the difference between a US plan and a US hope:

RULEMAKING	WHERE IT STANDS, AUGUST 2026	WHAT IT MEANS FOR US
Heavy-vehicle AEB (NHTSA / FMCSA)	Supplemental proposed rule expected July 2026; pending about three years; NHTSA’s false-activation engineering analysis open since Oct 2025 ● SOURCED	A future factory-fit requirement on new Class 7–8, proposed 2027 and medium-duty 2028. That is an OEM and Tier-1 opportunity, not a retrofit market.
FMVSS 111 / camera monitor systems	NHTSA still researching , responding to petitions including one from Daimler Trucks North America; no final rule ● SOURCED	Our smart mirror cannot be sold as a mirror replacement in America. It becomes a supplementary sensor pod alongside retained mirrors, which is a different product and a different pitch.

RULEMAKING	WHERE IT STANDS, AUGUST 2026	WHAT IT MEANS FOR US
California heavy-duty AV rules	Finalised 28 April 2026. Vehicles over 10,001 lb permitted through staged permits; 500,000 test miles per phase; safety case filed with the DMV ● SOURCED	The largest freight state is open. The mileage bar also tells us plainly that long-haul autonomy is not a business for a company our size.
Commerce connected-vehicle rule	Software prohibitions live 17 March 2026 for China/Russia nexus; hardware from MY2030 or 1 Jan 2029; passenger vehicles first, a truck rule signalled ● SOURCED	This one is in our favour. India is not a restricted country, so we are a compliant non-China alternative at exactly the moment American OEMs are being pushed to find one.

Why now, and why the window is real. Insurance economics are already forcing safety hardware onto American trucks faster than any regulator is. The AEB rule will convert that into factory-fit demand around 2027–2028. And the connected-vehicle rule is actively pushing OEMs to find non-Chinese silicon in that same window. That intersection is our entry, and it is open for roughly as long as our India certification window is — which is why I would rather start the American conversations now, cheaply, than later at scale.

4 Where I think we can win — and what I will not pretend

Three routes survive §2. Two more I am naming and rejecting, because a plan that does not say what it refuses is not a plan:

#	ROUTE	WHO BUYS	WHY IT SURVIVES	IN TIME
V2	Yard and private-land autonomy	ports, intermodal, plants, 3PL yards	No FMVSS applies, no AV permit, no supply-longevity commitment. Outrider has already proven customers buy this as a subscription in a \$64B market ● SOURCED	First
V3	Supplementary sensor pod	fleets, through a platform partner	Blind-spot and side detection without touching FMVSS 111; rides a partner's existing install base	Second
V1	Silicon, IP and module supply	platform vendors, Tier-1s, truck OEMs	They own the fleet relationship and the certification burden; we own a cost floor they cannot match, and the connected-vehicle rule makes a non-China supplier structurally attractive ● SOURCED	Last — see below

#	ROUTE	WHO BUYS	WHY IT SURVIVES	IN TIME
X1	Long-haul driverless autonomy	—	I am rejecting this. Aurora, Kodiak and Waabi are years and hundreds of millions ahead (\$6), and California alone wants 500,000 test miles per phase	never, in this plan
X2	Direct fleet retrofit sales	—	I am rejecting this too. Samsara, Lytx, Motive and Netradyne own that channel at \$27–60 per vehicle per month with software bundled in ● SOURCED	never, in this plan

The gate on V1 that I only learned by asking properly

This is the most useful thing in the document, and it is not flattering to us. American automotive buyers now expect guaranteed part availability measured in decades — STMicroelectronics extended its automotive MCU longevity programme to **20 years, guaranteeing supply to at least 2038** [● SOURCED](#), and Tier-1 supply increasingly involves multi-year volume or take-or-pay commitments [● SOURCED](#). Functional safety at ASIL-D additionally requires single-point-fault coverage above 99% under a managed process with independent assessment [● SOURCED](#) — a programme, not a certificate you buy late.

Read plainly: **a five-person fabless company with one shuttle tapeout cannot sign a fifteen-year longevity commitment or a credible second-source plan.** Not price, not performance, not our AI — *that* is what would end a Tier-1 conversation about selling them a chip today. V1 becomes real when a foundry or a Tier-1 stands behind the supply promise, or when we **license the IP instead of selling the part.** Which turns out to be the strategically interesting answer, and it leads directly into the next section.

5 What we would actually sell them

When I say “component supplier,” I do not mean our India kit taken apart and sold as pieces. Our kit’s value is integration, and breaking an assembly into parts is a worse business than selling the assembly. What travels to America is narrower and deeper: **the layers where we own the intellectual property.**

It is also worth being explicit about what we do *not* make, because those are exactly the things people assume a “full-stack” company sells:

NOT OURS TO SELL	WHOSE IT IS	WHY I WILL NOT SELL IT
Drive-by-wire / brake-by-wire	Jiyu Technology , our partner	ASIL-D chassis-by-wire with redundant braking, already shipping to 30+ OEMs. We integrate <i>against</i> it and certify a latency budget <i>into</i> it. Reselling it earns us no margin and builds us no moat.
Steer-by-wire	Jiyu and incumbent Tier-1s	Same reasoning. Actuation is a partner domain by design.
Chassis, e-axes, trailers	Brogen EV , our partner	A commodity by 2026, and not a semiconductor business.
Cameras and image sensors	sensor and module vendors	Bought-in parts inside our pod. We do not fabricate image sensors and I will not let a deck imply we do.
77 GHz radar module	radar Tier-1s	Our radar work is a <i>front-end chip</i> needing SiGe BiCMOS, not a finished module ● PLAN . An FPGA cannot prototype a 77 GHz front end, so it is proven on silicon or not at all. That makes it a 2028+ item, not a US entry product.
LiDAR	—	Not in our stack. Our perception thesis is camera plus radar, no HD maps.

What we *do* own falls into six sellable things. The column I would draw your attention to is the fourth one:

The six things we can actually sell

SKU	WHAT IT IS	WHAT WE OWN	QUALIFICATION BURDEN	LONGEVITY GATE?	WHO BUYS IT
S1	IP block licence — RTL as soft IP: the DGFP4 tile, INT4 attention/GEMM engine, safety island, TSN gateway; six designs already tapeout-ready	RTL + 15 patents filed ● PLAN	ISO 26262 <i>ASIL-ready IP package</i> and documentation. No silicon qualification	None	Tier-1s, SoC vendors, autonomy companies
S2	Perception model licence — D-Drive / YOLO-family INT4 network plus our quantisation toolchain	Model, weights, toolchain ● MEASURED	None. It is software	None	Platforms, autonomy companies, yard operators
S3	Compute module — DGS001-class M.2 / system-on-module: our die or FPGA plus memory, I/O and BSP	Board design, BSP, drivers ● MEASURED	Board-level. Materially easier than a die	Softer	Platform vendors, yard OEMs, integrators
S4	Packaged SoC — SoC2, 28 nm, 39.3 TOPS INT8, ₹1,750 packaged part	The die ● PLAN	AEC-Q100 + IATF 16949 + ISO 26262 + PPAP	Yes — 15–20 years. The blocker	Tier-1s, truck OEMs
S5	Sensor pod subsystem — 3×8MP GMSL2 cameras + 4D 77 GHz radar + thermal + DMS + in-cab compute	Integration and compute only ; cameras, radar and thermal bought in	FMVSS 111 limits it to <i>supplementary use</i> ● SOURCED	Partial	Fleets, through a platform partner
S6	Yard autonomy stack — compute + perception model + safety island + remote-supervision tooling	The stack ● PLAN	No FMVSS, no AV permit on private land	None	Ports, plants, intermodal, 3PL yards

Why that fourth column changes the plan. S1, S2 and S6 carry **no longevity gate and no automotive silicon qualification at all** — nobody demands a fifteen-year supply commitment on a soft-IP licence, a software model, or a private-land stack. S4, the packaged chip, is the biggest prize and the one thing we genuinely cannot sell into automotive yet. So the ladder is **S2 and S6 first, S1 and S3 next, S4 last**, and the honest conclusion is that **our first American revenue is far more likely to be a licence than a part.**

I want to flag what that implies about the job, because it affects whether this partnership is the right fit rather than just an attractive one. Selling soft IP or a perception model to a Tier-1 is a long-cycle, technical, relationship-led enterprise sale — much closer to licensing than to distribution. If that is the kind of selling you have done, this works. If your strength is channel and volume distribution, then S6 — yard autonomy — is where you should start, and we should both know that going in.

6 What it costs to play in this category

I would rather show you this than have you discover it. These are the ten companies Tracxn ranks as closest peers in autonomous trucking, with disclosed private funding:

COMPANY	FOUNDED	HQ	TOTAL FUNDING	LEAD INVESTORS
Pony.ai	2016	Fremont, US	\$1.19B	Toyota Motor, HongShan +33
Waabi	2021	Toronto, Canada	\$1.03B	Khosla Ventures, Uber +26
PlusAI	2016	San Francisco, US	\$720M	HSG, FountainVest +17
Aurora	2017	Mountain View, US	\$693M	Hyundai, Greylock +15
Einride	2016	Stockholm, Sweden	\$652M	Temasek, Norrsken VC +35
TuSimple	2015	San Diego, US	\$648M	Sina +23
Oxa	2014	Oxford, UK	\$246M	BP Ventures, ZF +22
Kodiak Robotics	2018	Palo Alto, US	\$165M	Aliya, BMW i Ventures +14

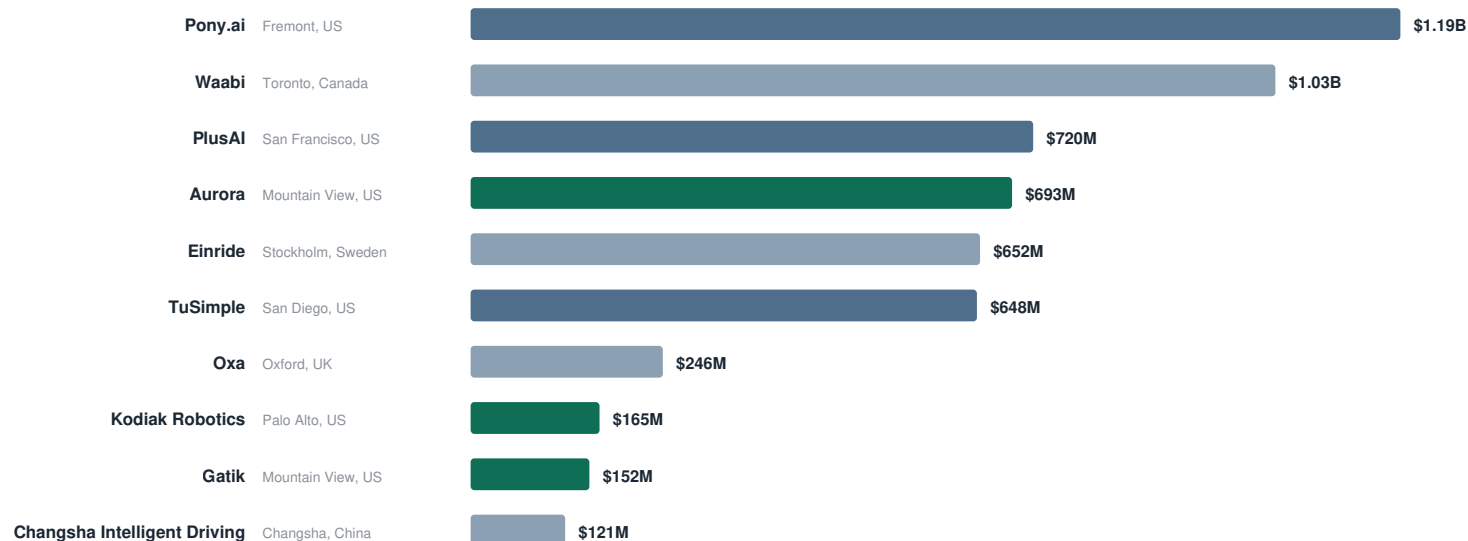
COMPANY	FOUNDED	HQ	TOTAL FUNDING	LEAD INVESTORS
Gatik	2017	Mountain View, US	\$152M	Innovation Endeavors, Avin Hub +23
Changsha Intelligent Driving	2017	Changsha, China	\$121M	Xinding Capital, Sanze VC +12
<i>Source: Tracxn competitor ranking for Kodiak Robotics, retrieved Aug 2026</i> ● SOURCED <i>. Private funding only; Aurora and Kodiak are both now public.</i>				

Those ten have raised roughly \$5.6 billion between them. We are raising ₹45 Cr, about \$5.4 million. The ratio is around a thousand to one. I am not showing you this to be dramatic — I am showing you because it is the entire reason I am proposing we enter as a supplier and a licensor rather than as a competitor. No version of this round competes in that category, and any plan that implies otherwise is one you should not put your name to.

COMPETITIVE DIAGRAM

Capital Raised in Autonomous Trucking

why DeepGrid enters as a supplier, not a rival

**DeepGrid: ₹45 Cr (~\$5.4M) — a 4-pixel bar on this scale**

Combined disclosed private funding of the ten peers above: ~\$5.6B. Ratio to this round: ~1,000:1.

FIG 7

Fig. 7 — Capital raised in autonomous trucking. Disclosed private funding of the ten companies Tracxn ranks as closest peers (Aug 2026)

● SOURCED

. Teal bars are the three companies whose business models are compared in Fig. 3. Excludes post-IPO capital: Aurora and Kodiak are both public. The point is not that DeepGrid is under-funded — it is that no amount of this round competes in this category, so the plan must not try to.

7 The competitive set, and the posture I propose for each

There are two distinct competitive groups in America, and I think our correct relationship differs for each. Confusing them produces a plan that competes with everyone and partners with no one:

COMPANY	WHAT THEY ARE	WHERE THEY STAND IN 2026	MY PROPOSED POSTURE
Aurora	Long-haul driverless; licenses the Driver	5.3M cumulative miles to April 2026; about 440,000 driverless miles by end June; 10 Sun Belt routes; second-generation trucks July 2026; Roush targeting 1,000 trucks a year; one customer ordering 500 ● SOURCED	Do not compete
Kodiak (Kodiak AI)	Driverless technology plus owned operations	Public via Ares Acquisition Corp II, Sept 2025; 30 power units; driverless frac-sand for Atlas Energy; long-haul driverless targeted 2H 2026; partnered with Bosch to scale hardware ● SOURCED	Do not compete — but their Bosch deal is the exact template for our V1
Waabi	Autonomous trucking, simulation-first	Raised \$1B ; investors include NVIDIA's NVentures, Volvo Group VC, Porsche SE ● SOURCED	Do not compete
Gatik	Owns and operates a middle-mile fleet	Asset-heavy operator	Not our lane
Outrider	Yard autonomy as a subscription	\$62M raised; driverless rollout 2026; taking 2026–27 orders; enterprise support launched ● SOURCED	Proof that V2 works — compete or supply
Samsara, Lytx, Motive, Netradyne, SmartWitness	Fleet safety platforms — they own the retrofit channel	The five vendors dominating the 2026 US fleet camera market ● SOURCED	Partner. Do not fight. V1 and V3 both route through them

If you take one datapoint from this table, take the Kodiak–Bosch arrangement. **An American autonomy company chose to partner with a component supplier to scale its hardware.**

That is the seat I am asking you to help us apply for — and it exists partly because of the connected-vehicle rule, not only because of our cost.

8 The structure: investor in India, founder in America

Let me state your proposal as I now understand it, because it is cleaner than the version I had been arguing with myself about:

#	WHAT YOU PROPOSED	MY ANSWER
1	You invest in the Indian company today — \$1M for ~7.7% at ₹112 Cr pre-money	Agreed. Terms as already discussed, side letter included
2	You come in as a founder in the American company	Agreed, with the guardrails below
3	Your American equity is earned against performance as we go, not granted at signing	Agreed, and it was going to be my proposal too
4	We then raise a \$25M follow-on in the US to compete properly	Agreed — this is \$10, with one caveat about the word “compete”

So we are aligned on the shape. What I want to write down are the four things that have to be true for this structure to survive diligence in 2028 rather than need surgery. Three of them protect you as much as me; one of them is mine and I am not going to move on it.

The structure at inception

A Delaware entity, **majority-owned by Deepgrid Semi**, with you as founder holding earned equity. Illustratively — and these percentages are a starting point for negotiation, not a position ● ASSUMPTION :

HOLDER	AT INCEPTION	NOTES
Deepgrid Semi (Indian parent)	majority	Funded as an ODI. Holds the exclusive US licence; the IP itself stays in India
You, as co-founder	meaningful minority, earned in tranches	Real founder equity, not phantom — vesting against the gates below

HOLDER	AT INCEPTION	NOTES
US employee pool	reserved	For the American hires you will need
<i>Later: the \$25M round</i>	dilutes everyone pro-rata	Including me, including the parent

The four guardrails

#	GUARDRAIL	WHY IT PROTECTS YOU	WHY IT PROTECTS THE COMPANY
1	The Indian parent holds majority and control of the US entity	It is what makes your shares fundable. An institutional lead in 2028 needs one clear owner of the technology behind the entity it is buying into	Our ₹204 Cr investors keep the upside of the market they backed us to reach
2	The IP stays with the Indian parent. The US entity holds an exclusive, territory- and field-of-use-limited licence	You are selling something with a real owner standing behind it, not a shell with borrowed rights	One asset, one owner. This is the guardrail I will not move on — every other term is negotiable
3	Your equity is earned in tranches against named commercial gates , with standard leaver and reverse-vesting provisions	You will be able to point at delivered outcomes rather than explain a founder title to every future investor	It makes a generous grant defensible on the cap table instead of looking like a gift
4	ODI filed properly, and your FEMA residency established before we paper anything	It is your shares that are at risk if the structure is later found non-compliant	A FEMA contravention discovered during 2028 diligence is a repriced or dead round

What “earned” would actually mean

I would rather agree the tranches now, in writing, than have a conversation in month nine about whether something counted. My proposal is that your equity vests in four roughly equal parts against the gates already in §9 and §10:

TRANCHE	VESTS ON	ROUGHLY WHEN
T - A	Signing — you join, the entity is formed, US0 begins	on execution
T - B	US1 — one signed technical evaluation with a platform vendor or Tier-1	months 3–9
T - C	US3 — one live US yard reference, or a first smaller-OEM evaluation	months 9–18
T - D	The \$25M round closes — the outcome that makes all of this real	2028

Note what tranche A does: **you hold founder equity from day one, not after a probation.**

The gates govern the rest. I think that is the right balance between your point that you are a founder rather than an employee, and my point that a title should be earned where the work is invisible.

The dilution question, since it is the one you should press me on

Your percentage will fall when we raise \$25M. Mine falls too, and so does the parent’s. The honest framing is that **your return comes from the entity being worth something, not from the percentage being large** — a meaningful minority of a company that raised \$25M on real American traction is worth many multiples of a large slice of a 2026 shell that no investor will price. That is the whole argument, and it is also why I keep insisting on one clean cap table: **the 2028 round is exactly what a fragmented structure would make expensive or impossible.**

Two protections I would offer against that dilution without hesitation: **pro-rata rights so you can defend your position in the round**, and a written commitment that your unvested tranches are adjusted rather than crushed if the round is larger or earlier than planned

● ASSUMPTION .

What Indian law constrains

Not a free design space, and I would rather we both know this before counsel tells us:

CONSTRAINT	WHAT IT MEANS HERE
FEMA / ODI: where an Indian resident has <i>control</i> of a foreign entity it constitutes overseas direct investment, reportable through the AD bank on Form ODI Part I / Form FC — even where no cash is remitted	The parent’s majority holding in the US entity is a reportable ODI. We structure and file it properly at inception, not retrospectively.
● SOURCED	

CONSTRAINT	WHAT IT MEANS HERE
Resident-individual restriction: a FEMA-resident individual generally cannot acquire control in a foreign entity that itself has an Indian subsidiary or step-down subsidiary ● SOURCED	Your FEMA residency status determines what you can hold, and we need it established first. It is also a reason the US entity should sit <i>under</i> the Indian parent rather than above it ● ASSUMPTION .
Flip timing: the gradual-migration route is what is normally recommended early, because it avoids ODI share-swap complexity and does not crystallise capital gains ● SOURCED	If the 2028 lead wants a Delaware topco, that route stays open — provided we have kept one clean cap table until then.

The one caveat on the word “compete.” \$25M does not compete with the companies in §7 — they have raised about \$5.6B between them. What \$25M does is fund **qualification, a US presence, longevity backing and working capital** so that we can win the segments we chose in §4 and §10: smaller and vocational OEMs, terminal tractors and yards, module and licence supply. That is a fight we can win. Head-on long-haul autonomy is not, at any round size we will realistically raise, and I would rather we say that to a US investor before they say it to us.

Where I have landed. Yes to investor in India today. Yes to founder in America. Yes to earned equity, generously sized, with tranche A vesting at signing. Yes to the \$25M follow-on. The two things I am asking you to accept in exchange are that **the Indian parent keeps majority and control of the US entity, and the IP stays with the parent under an exclusive licence.** If you can live with those two, I think we have a deal and the rest is counsel and percentages.

9 How I would sequence it, and the risks I’d rather you hear from me

Sequenced so nothing expensive happens before something cheap has been proven. **No stage below draws on the ₹45 Cr round:**

STAGE	MONTHS FROM SIGNING	WHAT WE WOULD HAVE	WHAT IT COSTS
US0 — Access	0–3	A target list of platform vendors and Tier-1s, warm introductions, one non-binding technical conversation	travel only
US1 — Validation	3–9	One signed technical evaluation with a platform or Tier-1 — this is also your side-letter enterprise/ISV milestone	engineering time
US2 — Qualification scoping	6–12	A written quote and timeline for AEC-Q100 / IATF 16949 / ISO 26262 — the real cost of playing, priced instead of guessed	study cost only
US3 — Yard reference	9–18	One US private-land yard pilot, where no FMVSS or AV permit applies	partner-funded or a separate SPV
US4 — Entity and first agreement	18+	US entity, Declaration-of-Conformity readiness, first supply or licence agreement	gated on Series A, not this round

And the risks. I have put the two I find most uncomfortable at the top:

#	RISK	CLASS	WHY IT BITES	WHAT I PROPOSE WE DO
U7	US product liability	high	I have been quoting that \$51M median verdict as a <i>sales</i> argument. It is also our exposure: a perception component sits inside the liability chain of an 80,000 lb vehicle in the most litigious trucking market in the world ● ASSUMPTION . The tail risk exceeds this entire round.	US counsel before any US revenue; product-liability cover as a priced cost line, not an afterthought; limitation-of-liability and indemnity caps in every agreement; our bit-exact deterministic replay as the forensic defence.
U1	Automotive qualification is unfunded	high	AEC-Q100, IATF 16949 and ISO 26262 all precede any Tier-1 design-in, and none is funded in the ₹45 Cr ● ASSUMPTION .	US2 exists purely to price this before we commit. V2 needs none of it and can produce our first US reference without it.
U2	No US entity, team or track record	high	A five-person Hyderabad company has no US legal presence, no automotive references, no local support.	This is the whole reason the lane needs you rather than a hire. US4 gates entity spend to Series A.
U3	Channel dependence	high	V1 and V3 both run through partners who can drop us, second-source us, or build it themselves.	Run V1 and V2 in parallel so no single partner is load-bearing. Our cost floor is the reason to keep us.

#	RISK	CLASS	WHY IT BITES	WHAT I PROPOSE WE DO
U8	FEMA / ODI structuring	medium	Control of a foreign entity from India is reportable ODI even with no cash moved ● SOURCED .	Structure per option A in §8; file properly; keep a later flip available.
U4	The truck connected-vehicle rule lands badly	medium	Commerce has signalled a separate rule for trucks and buses; a broad foreign-nexus reading could sweep in non-China suppliers too ● SOURCED .	Counsel before US4. Declaration-of-Conformity readiness as a named deliverable.
U5	The AEB rule slips again	medium	Already about three years pending with an open false-activation analysis ● SOURCED .	Insurance-driven demand does not depend on the rule. V2 depends on neither.
U6	India execution suffers	high	My attention and scarce engineering time pulled toward a market with no near-term revenue.	A hard rule I am imposing on myself: no India engineer is assigned to US work before AIS certification closes.

The honest bottom line. There is a real market here, a real buying trigger, and a real structural opening for a non-Chinese silicon and IP supplier. There is also **no US revenue I am willing to forecast, no qualification budget in this round, and no American presence today.** What I am proposing is that we buy an option on America with your network rather than with the company's capital — and that you and I judge it on whether US1 and US2 close on time, not on the size of the American market.

10 The 2028 round — and the asset that unlocks it

You made a point in conversation that I think is the strongest strategic idea either of us has put on the table, and it deserves to be in this document rather than left in a phone call. Your argument, as I understood it: **once Indian trucks are actually running with our ADAS, that fleet becomes the reference that opens America — and it is the smaller US OEMs, not the majors, who will want to try it. Their interest is what makes a US round raisable, and we should raise roughly \$25M in America in 2028 to convert that interest into a business.**

I agree with it, I think it is better than anything I had written, and it fixes the one real hole in this document: everything up to §9 ends at “gated on Series A” with no American capital plan at all. So here is that plan, with the parts I would push back on marked as such.

Why the reference asset changes our position

Today I walk into an American conversation with measured silicon and a good story. In 2028, if India goes the way BP-1A says it should, I walk in with something categorically different — a deployed fleet, field-failure data from a punishing duty cycle, and manufacturing maturity somebody else has already paid to prove. No amount of pitching substitutes for that, and it is the one asset the companies in §7 cannot simply buy with funding.

But I want to be precise about what it proves, because overselling this is how the document would lose its credibility:

THE INDIA FLEET PROVES	IT DOES NOT PROVE
Reliability at a hostile duty cycle — heat, vibration, dust, voltage transients, tamper resistance over real months	US regulatory compliance. AIS certification is not FMVSS, and the test protocols differ
Manufacturing and field maturity — that we can build, install, support and service at volume	US highway perception validation. Indian road data does not validate American interstate conditions
Unit economics at real volume — our cost floor demonstrated rather than modelled	Automotive qualification. AEC-Q100 / IATF 16949 / ISO 26262 still have to be done and paid for (§9, U1)
That the model works on messy roads — arguably harder than US highways	Anything about longevity. A deployed fleet is not a 15-year supply guarantee (§4)

Why smaller OEMs, and which ones

Your instinct to skip the majors is the part I most agree with. Daimler, Paccar and Volvo have entrenched Tier-1 relationships, multi-year qualification programmes and no particular reason to take our call in 2028. The smaller and vocational American OEMs are a genuinely different buyer:

WHY THEY ARE REACHABLE	EVIDENCE
They face the same AEB requirement with no in-house ADAS capability and no Tier-1 leverage	the rule targets new Class 7–8 from 2027 and medium-duty 2028 ● SOURCED
ADAS is already arriving in vocational , so the segment will be actively shopping	Mack has scheduled a comprehensive ADAS suite for a new vocational platform with late-2027 builds ● SOURCED

WHY THEY ARE REACHABLE	EVIDENCE
They are structurally underserved by incumbents because their volumes are small	structural ● ASSUMPTION
Several build terminal tractors and spotter trucks — the exact vehicle our yard stack runs on	Autocar builds severe-duty vocational trucks <i>and</i> terminal tractors ● SOURCED ; Battle Motors builds refuse, infrastructure and a non-CDL Class 6 ● SOURCED

The convergence I had missed until I looked at the target list properly. A maker like Autocar builds both severe-duty vocational trucks and terminal tractors [● SOURCED](#) . That means **the same OEM is simultaneously an ADAS customer and a yard-autonomy platform partner** — our S3 module and our S6 stack sold to one buyer, on one relationship, through one integration. Every other route in §4 needs a different partner for each product. This one does not, which makes the smaller-OEM segment our best single target rather than merely the easiest one.

Your point also forces a correction on my own SKU logic. In §5 I argued the licence SKUs come first because they dodge the longevity gate. That holds for Tier-1s and autonomy companies, who have their own engineering teams. **Smaller OEMs are the opposite: they lack integration capacity, so they want a more complete product, not bare RTL.** For this buyer the order is **S3 (compute module), S5 (sensor pod) and S6 (yard stack)**, with S1 becoming what we license to the majors later. That is a real change to the plan, and it came from your framing rather than mine.

The round itself

On the number and the timing: I think 2028 is right, and I would treat \$25M as the correct order of magnitude rather than a figure either of us should defend yet [● ASSUMPTION](#) .

WHAT THE ROUND WOULD FUND	WHY IT CANNOT BE FUNDED EARLIER
Automotive qualification — AEC-Q100, IATF 16949, ISO 26262, PPAP	The unfunded gate in §9 (U1), and the thing that converts us from a licensor into a supplier
US entity, local field-applications and support presence	No American OEM designs in a part with no local support — and premature before there is a design-in to support
Inventory and working capital for module supply	Only meaningful once an OEM has committed volume
A longevity and second-source posture — foundry commitments behind a 15-year promise	Needs capital and a foundry relationship we will not have before the 28 nm part is in production

Why 2028 rather than sooner or later: the AEB factory-fit requirement bites on new Class 7–8 from 2027 and medium-duty in 2028 [● SOURCED](#) ; vocational ADAS platforms are being built for late 2027 [● SOURCED](#) ; California’s heavy-duty framework opened in April 2026 [● SOURCED](#) ; and our India reference will by then be mature rather than anecdotal. Those four line up exactly once.

And this is where your equity question answers itself. A \$25M US-led round in 2028 is precisely the **trigger event** I described in §8: the moment a Delaware topco becomes the right structure, and the round that prices your founder equity in the American company at a valuation set by an American lead investor rather than by me, and the final vesting tranche in §8. **A meaningful minority of a company that raised \$25M on real traction is worth many multiples of a large slice of a 2026 shell nobody will price.** It is also why I care so much about not fragmenting the cap table now — a fragmented structure is exactly what would make the 2028 round expensive or impossible.

What has to be true by then

So that we are both measuring the same things. If these are not true, we should not raise:

#	PRECONDITION BY 2028	OWNER
1	Indian fleets running our ADAS at real volume, with published field-reliability and day-30 uptime data	Me (BP-1A)
2	28 nm silicon in production, not merely first silicon	Me
3	At least one US yard reference live (US3, §9)	You
4	Two or more smaller-OEM technical evaluations open, ideally one with a terminal-tractor maker	You
5	A written, priced qualification plan, so the round funds a known cost rather than a guess (US2)	Both
6	A defensible answer on longevity and second source	Me, with a foundry partner
7	Clean structure: one cap table, ODI filings in order, flip executable (§8)	Both, counsel-led

The caveat I would rather state myself than have a US investor state for me: **every element of this section is a plan, not a commitment.** The India deployment has to actually happen first — it is the load-bearing assumption underneath the entire American case, and it lives in

BP-1A rather than here. If India slips, 2028 slips with it, and the right response is to say so rather than to raise anyway.

11 What I'm asking you for

Not capital for America. Three things I cannot get on my own:

#	WHAT I AM ASKING	WHY IT HAS TO BE YOU
1	One platform or Tier-1 technical conversation — Samsara, Motive, Netradyne class, or a truck Tier-1	I can build the part. I cannot get the first meeting, and a cold approach from an unknown Indian fabless company does not convert.
2	One American yard operator — a port, plant, intermodal or 3PL yard willing to run a pilot	This is our fastest credible US reference and it needs no certification. It is also the deal I understand least well commercially.
3	Your judgement, used against me	You have taken businesses international and I have not. If your read is that the licensing route is wrong, or the sequence is wrong, I want that in month one, not month ten.

And what you get from me: the delivery half done properly and on record. First silicon, AIS certification, and a company where the numbers in front of an investor are labelled by how they were obtained. **That is the part I can promise, and it is the part that makes your half sellable.**

What happens next

STEP	WHEN	WHO
You read this and BP-1A and tell me where you think I am wrong	this week	You
We agree the pool size, the three gates, and the vesting schedule	within two weeks	Both
Counsel drafts: subsidiary, incentive pool, side letter, conversion right	weeks 2–4	Counsel, board-approved
Signing, T1, and US0 begins	week 4–5	Both
First review of US0/US1 against the gates	month 3	Both, with the board

One last thing. I have written this the way I would want it written if I were the one being asked — with the weaknesses in the same font as the strengths. If the American opportunity here still looks worth your time after reading the uncomfortable sections, then I think we should build it together. If it does not, I would rather know that now, and I would still want you as an investor.

— Aravind

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